

Senate File 574

S-3048

1 Amend Senate File 574 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <Section 1. Section 573.12, subsection 1, paragraphs a and
5 b, Code 2025, are amended to read as follows:

6 a. Payments made under contracts for the construction of
7 public improvements, unless provided otherwise by law, shall
8 be made on the basis of monthly estimates of labor performed
9 and material delivered, as determined by the project architect
10 or engineer. The public corporation shall retain from each
11 monthly payment not more than ~~five~~ three percent of that amount
12 ~~which that~~ is determined to be due according to the estimate
13 of the architect or engineer.

14 b. The contractor may retain from each payment to a
15 subcontractor not more than the lesser of ~~five~~ three percent
16 or the amount specified in the contract between the contractor
17 and the subcontractor.

18 Sec. 2. Section 573.13, Code 2025, is amended to read as
19 follows:

20 **573.13 Inviolability and disposition of fund.**

21 A public corporation shall not be permitted to plead
22 noncompliance with [section 573.12](#) and the retained percentage
23 of the contract price, which in no case shall be more than ~~five~~
24 three percent, constitutes a fund for the payment of claims
25 for materials furnished and labor performed on the improvement
26 and shall be held and disposed of by the public corporation as
27 provided in [this chapter](#).>

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